14. INCOME TAXES

The Company accounts for income taxes in accordance with authoritative guidance, which requires the use of the asset and liability method. Under this method, deferred income tax assets and liabilities are determined based upon the difference between the consolidated financial statement carrying amounts and the tax basis of assets and liabilities and are measured using the enacted tax rate expected to apply to taxable income in the years in which the differences are expected to be reversed.

The following table presents domestic and foreign components of income (loss) before income taxes for the periods presented (in thousands):

	2014	2013	2012
United States	$ 13,083	$ (6,184)	$ (12,624)
Foreign	(1,803)	(3,046)	(6,367)
Total	$ 11,280	$ (9,230)	$ (18,991)

The income tax provision is composed of the following (in thousands):

	2014	2013	2012
Current:			
Federal	$ —	$ —	$ —
State	704	145	3
Foreign	1,322	1,189	136
	2,026	1,334	139
Deferred:			
Federal	$ (14,806)	$ —	$ —
State	(7,613)	—	—
Foreign	(4,800)	(496)	(17)
	(27,219)	(496)	(17)
Total (benefit) provision for income taxes	$ (25,193)	$ 838	$ 122

The following table presents a reconciliation of the statutory federal rate and the Company's effective tax rate for the periods presented:

	2014	2013	2012
Tax benefit at federal statutory rate	35.00%	(34.00)%	(34.00)%
State—net of federal effect	3.63	(4.71)	(5.84)
Foreign rate differential	(2.17)	33.11	(38.74)
Stock-based compensation	12.76	1.21	7.96
Acquisition costs	—	0.51	2.39
Meals & Entertainment	3.75	3.74	3.05
Tax credits	(23.37)	(39.77)	(5.22)
Change in valuation allowance	(248.14)	45.02	70.13
Change in tax rate	(4.72)	—	—
Other	(0.08)	3.95	0.91
Effective tax rate	(223.34)%	9.06%	0.64%

The effective tax rate in 2014 reflects a $28.2 million benefit associated with the release of valuation allowance previously recorded against certain domestic and foreign deferred tax assets. In assessing the realization of deferred tax assets, management considers whether it is more likely than not that some portion or all of deferred tax assets will not be realized. The ultimate realization of the deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible.

At the end of 2013, the Company could not assert, at the required more-likely-than-not level of certainty, that its domestic and foreign operations would generate sufficient taxable income to realize all of our deferred tax assets after considering the duration and severity of losses in prior years, investments in domestic and international markets, and investments in employees, content, brand and technology.

During 2014, after consideration of the relative impact of all evidence, positive and negative, the Company determined, at the required more-likely-than-not level of certainty, that certain domestic and foreign deferred tax assets would be realized. In determining the need for a valuation allowance, the weight given to positive and negative evidence is commensurate with the extent to which the evidence may be objectively verified. Consideration was given to negative evidence that was also present in 2013. However, after considering the profit achieved in 2014 and expectations of continued profitability on an ongoing basis, we concluded that it was more-likely-than-not that the Company would have future taxable income sufficient to realize the benefit associated with certain domestic and foreign deferred tax assets.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The following table presents the significant components of the Company's deferred tax assets and liabilities for the periods presented (in thousands):

	2014	2013
Deferred tax assets:		
Reserves and others	$ 6,584	$ 4,285
Accrued legal	—	12
Stock-based compensation	17,933	10,416
Contribution carryforward	1,889	2,070
Net operating loss carryforward	10,611	17,335
Tax credit carryforward	4,957	4,671
Gross deferred tax assets	41,974	38,789
Valuation allowance	(4,159)	(31,166)
Total deferred tax assets	37,815	7,623
Deferred tax liabilities:		
Depreciation and amortization	(10,738)	(7,095)
Total deferred tax liabilities	(10,738)	(7,095)
Net deferred tax assets	$ 27,077	$ 528

At December 31, 2014, the Company has federal and state net operating loss carryforwards of approximately $166.7 million and $146.5 million respectively, expiring beginning in 2024 and 2015, respectively. Further, the Company has trading losses in Ireland of $11.5 million. The Ireland trading losses may be carried forward indefinitely against Ireland profits. The Company has losses of $9.6 million and $13.4 million in Germany and France, respectively, which may be carried forward indefinitely against profits in the

respective jurisdictions as a result of the acquisitions of Qype and Cityvox. At December 31, 2014, the Company has federal research credit carryforwards of approximately $4.1 million that expire beginning in 2024, and California research credit carryforwards of approximately $3.8 million which do not expire. At December 31, 2014, the Company also has $4.5 million of California Enterprise Zone credit, expiring beginning in 2023.

Utilization of the net operating loss carryforwards and credits may be subject to a substantial annual limitation due to the ownership change limitations provided by the Internal Revenue Code of 1986, as amended, and similar state provisions. The annual limitation may result in the expiration of net operating losses and credits before utilization. The Company does not expect any previous ownership changes, as defined under Section 382 and 383 of the Internal Revenue Code, to result in a limitation that will reduce the total amount of net operating loss carryforwards and credits that can be utilized. Further, Qype and Cityvox loss carryforwards may be subject to limitations under the applicable laws of the taxing jurisdictions due to ownership change limitations.

As a result of certain realization requirements of the accounting guidance for stock-based compensation, the table of deferred tax assets and liabilities shown above does not include certain deferred tax assets at December 31, 2014 and 2013 that arose directly from (or the use of which was postponed by) tax deductions related to equity compensation in excess of compensation recognized for financial reporting. Approximately $163.5 million of federal net operating losses, $138.3 million of state net operating losses, $1.7 million of Ireland net operating losses, $2.5 million of federal research and development tax credits and $0.1 million of state Enterprise Zone credits are related to tax stock option deductions in excess of book deductions. The Company uses the accounting guidance for income taxes for purposes of determining when excess tax benefits have been realized. This amount will be credited to stockholders' equity when it is realized on the tax return.

It is the intention of the Company to reinvest the earnings from Yelp Canada Inc., Yelp UK Ltd., and Yelp Ireland Holding Company Limited and its subsidiaries. The Company does not provide for U.S. income taxes on the earnings of foreign subsidiaries as such earnings are to be reinvested indefinitely. As of December 31, 2014, the Company estimates $2.1 million of cumulative amount of earnings upon which U.S. income taxes have not been provided. The income tax liability would be insignificant if these earnings were to be repatriated.

As of December 31, 2014, 2013 and 2012 the Company has $3.3 million, $1.8 million and $0.6 million, respectively, of unrecognized tax benefits. A reconciliation of the beginning and ending amount of unrecognized benefits is as follows (in thousands):

	2014	2013	2012
Balance at the beginning of the year	$ 1,774	$ 611	$ 1
Increase based on tax positions related to the prior year	69	3	495
Increase based on tax positions related to the current year	1,433	1,160	115
Balance at the end of the year	$ 3,276	$ 1,774	$ 611

As of December 31, 2014, the Company has $3.2 million unrecognized tax benefits that, if recognized, would affect the effective tax rate. The Company's policy is to record interest and penalties related to unrecognized tax benefits as income tax expense. During the years ended December 31, 2014, 2013, and 2012, the Company had immaterial amounts related to the accrual of interest and penalties.

The Company does not have any tax positions for which it is reasonably possible the total amount of gross unrecognized tax benefits will increase or decrease within 12 months of the year ended December 31, 2014.

The Company is subject to taxation in the U.S. and various states and foreign jurisdictions. Due to the Company's net losses, substantially all of its federal, state and foreign income tax returns since inception are still subject to audit.